

UNIT-I

MANAGERIAL ECONOMICS AND DEMAND ANALYSIS

MANAGERIAL ECONOMICS AND FINANCIAL ANALYSIS

UNIT-I

Managerial Economics and Demand Analysis Contents

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Managerial Economics and Demand Analysis

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Engineering stream-
Managerial Economics



Managerial Economics-
Decision Making

What is Economics

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ECONOMICS

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Adam Smith-18th century

Father of Economics

“Study of Wealth”

- “ an enquiry into the nature and causes of the wealth of nations”

How the wealth is produced and consumed?

ECONOMICS

- ▶ Wealth cannot be the ultimate goal of a man
- ▶ Dr. Alfred Marshall-19th Century
 - ✓ Economics is a study of man's actions in the ordinary business of life it enquires how he gets his income and how he uses it.
 - ✓ One side, a study of wealth and on the other side it is the study of man.
 - ✓ Chief aim of economics is to promote human welfare but not wealth.

ECONOMICS

- ▶ Lionel Robbins
 - The science which studies human behavior as a “relationship between ends and scarce means which have alternative uses”.

- ▶ **Lord J.M Keynes**
- ▶ “study of the administration of scarce resources and the determinants of income and employment”.
- ▶ **Prof. Samuelson –Growth Definition**
- ▶ “Economics is the study of how people and society end up choosing, with or without the use of money to employ scarce productive resources that could have alternative uses to produce various commodities and distribute them for consumption, now or in the future, among various persons or groups in society. Economics analyses the costs and the benefits of improving patterns of resources use”.

ECONOMICS

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- ▶ Wealth Definition
- ▶ Welfare Definition
- ▶ Scarcity Definition and
- ▶ Growth Definition

ECONOMICS

"A Queen of Social Sciences"

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► Economics –Greek word-**oikonomikos**

- **Oikos**-Home/House **Nomos**- Management
- Economic activity and Economic Problem
- ✓ Economics is the social science that studies economic activities.
- ✓ Economic activities essentially mean production, exchange and consumption of goods and services.
- ✓ Scarcity and Uncertainty are the two foundation stones of economics.
- ✓ Economics is a study of human activity both individual and National level.

ECONOMICS

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According to J.S. Mill Economics is “The practical science of production and distribution of wealth.”

‘It is the study of How people produce and spend income.’

‘Economics is to get the answer to the basic questions of an economy such as, What to produce?, How to produce? And for whom to produce?’

‘Economics is the social science that is concerned with the production, distribution, and consumption of goods and services.’

ECONOMICS

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Economics is the study of allocation of scarce resources among alternate uses.



Economics is the study of how individuals and groups make decisions with limited resources as to best satisfy their wants, needs and desires.



Economics is on one side the study of wealth and on the other and more important side, a part of the study of man.

Branches of Economics

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A graphic consisting of two overlapping rounded rectangles. The front rectangle is light pink and contains the text 'Micro Economics'. The back rectangle is a darker pink and is slightly offset to the top-left.

Micro
Economics

A graphic consisting of two overlapping rounded rectangles. The front rectangle is light pink and contains the text 'Macro Economics'. The back rectangle is a darker pink and is slightly offset to the top-left.

Macro
Economics

Micro Economics

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- ▶ Greek word- '**Mikros**'
- ▶ "Small" or "Individual"
- ▶ Studies the behavior of an individual decision making unit like an individual/household/firm
- ▶ The study of individual consumer or a firm
- ▶ "Theory of firm"

Micro Economics

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- ▶ Some of the theories which come under Micro Economics are:
 - Theory of Individual/Market Demand.
 - Theory of Production and Cost.
 - Theory of Markets and price.
 - Theory of profit, Etc...

Macro Economics

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- ▶ "aggregate Economics"
- ▶ The study of aggregate or total level of economic activity in a country is called "Macro Economics"
- ▶ Macro economics dealsnot with Individual income but With National Income, not with Individual prices but with the Price level , not with the individual output but with National output.
- ▶ Studies the economic system in aggregate

Macro Economics

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- ▶ Looks at the total output of a nation and the way the nation allocates its resources of land, labour, capital, etc. to promote trade and growth
- ▶ Some of the theories which come under Macro Economics,
 - Theory of total output and employment.
 - General price level.
 - Theory of Inflation.
 - Theory of trade cycles
 - Economic growth, Etc

What is Managerial Economics ?



Managerial Economics

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According to.....

Mc nair and Merian

"is the use of economic modes of thought to analyse business situation"

Spencer and Siegelman

"is the integration of economic theory with business practice for the purpose of facilitating decision- making and forward planning by management"

Brigham and Pappas

"the application of economic theory and methodology to business administration practice"

Managerial Economics

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Hague

"a fundamental academic subject which seeks to understand and to analyse the problems of business decision-making"

Watson

"Price theory in the service of business executives"

Managerial Economics

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- ▶ Branch of Economics
- ▶ Managerial Economics is the study of Economic Theories, Principles and Concepts which is used in Managerial Decision Making.'
- ▶ **Managerial Economics converts Technical decisions into Economically Profitable decisions.**

Economics Vs Managerial Economics

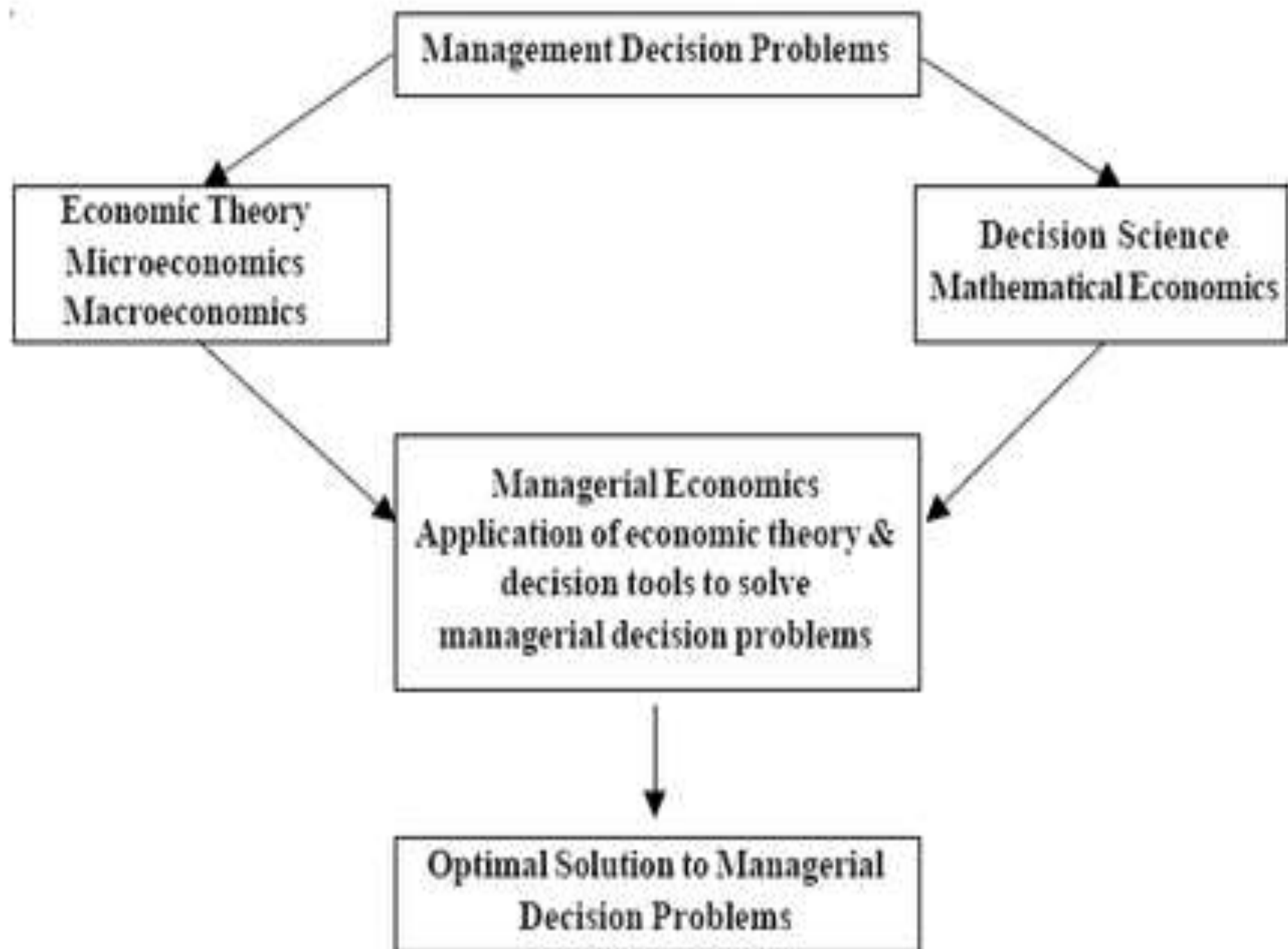
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S.No	Economics	Managerial Economics
1	Comprehensive and wider scope	Narrow and limited scope
2	It has both Micro and Macro in nature	It is essentially Micro in nature and Macro in analysis
3	It is both Normative and positive science	It is mainly a Normative science
4	It is concerned with the formulation of theories and principles	It is concerned with the application of theories and principles of economics
5	It discusses general problems	It discusses Individual problems

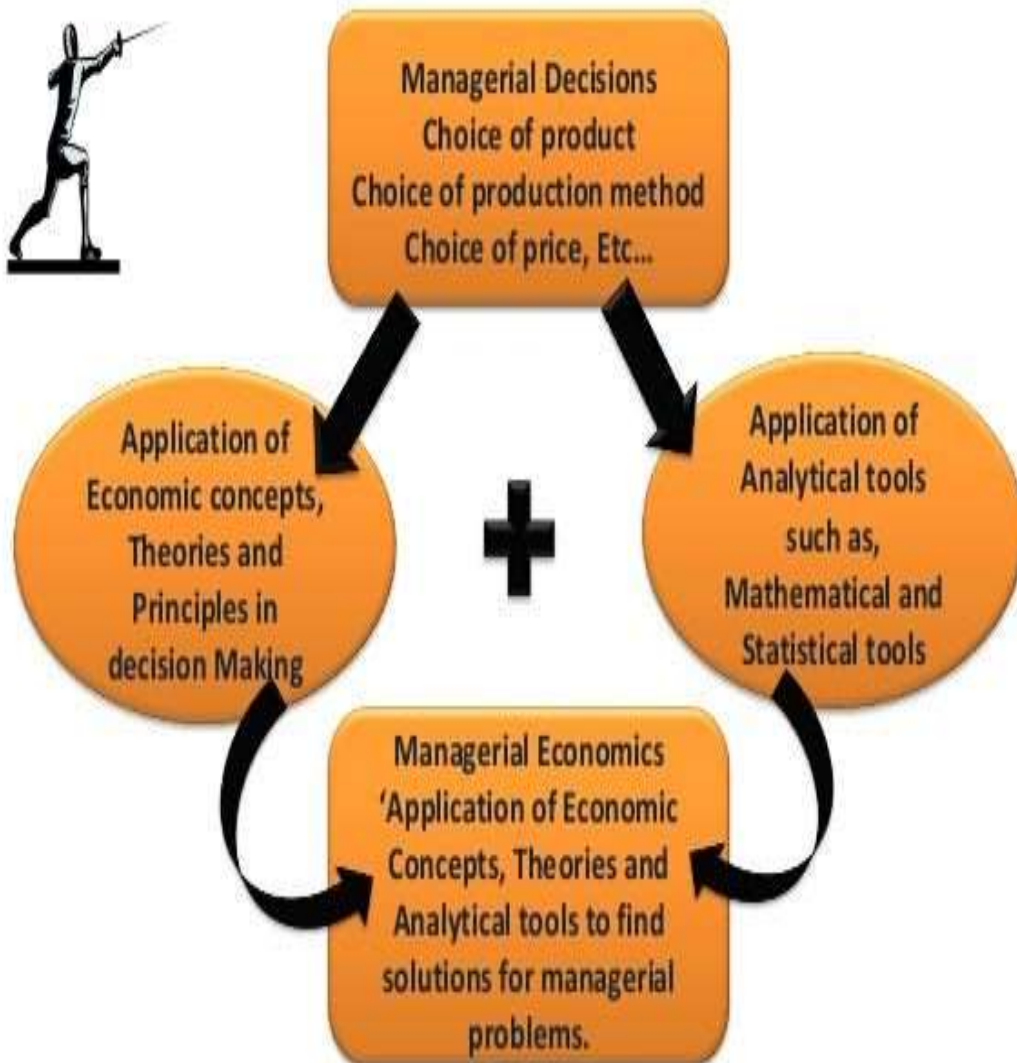
Features of Managerial Economics

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- Managerial Economics is concerned with decision making of economic nature
- Managerial Economics is goal oriented and prescriptive(Course of action)
- Managerial Economics is pragmatic(application oriented)
- Managerial Economics is both conceptual and metrical
- Provides link between traditional economics and the decision sciences for managerial decision making



Managerial Economics



Features of Managerial Economics

Nature of Managerial Economics

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- Managerial Economics is micro economic in nature
- Macro economic conditions
- Normative approach(Value based recommendations)
- Managerial Economics is more pragmatic
- Managerial Economics is prescriptive

Nature of Managerial Economics

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- Applied in nature
- Interdisciplinary
- Assumptions and Limitations
- Offers scope to evaluate each alternative

Scope of Managerial Economics

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- ❖ Demand Analysis and Forecasting
- ❖ Input-Output Decisions
- ❖ Pricing decisions, policies and procedures
- ❖ Profit management
- ❖ Investment decisions/Capital management
- ❖ Economic forecasting and forward planning

Scope of Managerial Economics (Cont.)

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Fig : Scope and Decision Areas of Managerial Economics

Scope of Managerial Economics

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1. **Demand Decisions** – Forecasting demand, Demand response with the changes of price and supply, impact of income and alternatives on demand , profit and demand relation etc..
2. **Input-Output Decisions** – Input relation with Output to maximize profit, production function, factors of production, cost and production relationship, analyse cost – out put relation in the short run and long run etc..

Scope of Managerial Economics

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3. Price - Output Decisions – Production to determine price, understand price at different market structures, pricing policies, methods and strategies etc...

4. Profit related Decisions – BEP Analysis, Cost reduction and control, Ratio Analysis, production needed to gain profit, reduce wastage etc...

Scope of Managerial Economics

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5. **Investment Decisions** – Capital Budgeting decision, allocation and utilization of Investment, cost of capital, capital structure, to maximize return on capital etc.....

6. **Economic Forecasting and Forward Planning** – understanding major external factors like, government policy, competition, employment of labour, price and income levels and so on. Internal factors like finance, people, market and products. It is necessary to forecast the trends in the economy to plan for the future in terms of investments, profits, products and markets.

Managerial Economics- Relation with other Subjects

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- ❖ Managerial Economics - Traditional Economics
- ❖ Managerial Economics - Mathematics
- ❖ Managerial Economics - Statistics
- ❖ Managerial Economics - Accounting
- ❖ Managerial Economics - Operations Research
- ❖ Managerial Economics - Psychology and Sociology
- ❖ Managerial Economics - Decision Making
- ❖ Managerial Economics - Computer Science

Managerial Economics - Traditional Economics

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- ▶ Microeconomics and Macro Economics.
- ▶ Microeconomics is the study of the economic behaviour of individuals, firms and other such micro-organizations.
- ▶ Managerial economics is rooted in Micro Economic theory.
- ▶ Managerial Economics makes use to several Micro Economic concepts such as marginal cost, marginal revenue, elasticity of demand as well as price theory and theories of market structure etc.,
- ▶ Macro Economics- It deals with the analysis of national income, the level of employment, general price level, consumption and investment in the economy and even matters related to international trade, Money, public finance, etc.

Managerial Economics - Mathematics

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- ▶ Managerial Economics is both Conceptual and Metrical.
- ▶ Mathematics helps in estimating various economic relationships, predicting relevant economic quantities and using them in decision making and forward planning.
- ▶ Mathematical concepts and techniques are widely used in economic logic to solve these problems.
- ▶ **Geometry, Algebra** and **Calculus** are the major branches of mathematics which are of use in managerial economics.

Managerial Economics - Statistics

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- ▶ A successful businessman must correctly estimate the demand for his product. He should be able to analyse the impact of variations in tastes, fashion and changes in income on demand only then he can adjust his output.
- ▶ Statistical methods provide the base for decision making. Thus, statistical tools are used in collecting data and analysing them to help in the decision-making process.
- ▶ Managerial Economics also make use of correlation and multiple regressions in related variables like price and demand to estimate the extent of dependence of one variable on the other. The theory of probability is very useful in problems involving uncertainty.

Managerial Economics- Accounting

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- ▶ Accounting refers to the recording of pecuniary transactions of the firm in certain books
- ▶ A proper knowledge of accounting techniques is very essential for the success of the firm because profit maximization is the major objective of the firm.
- ▶ Managerial Economics requires a proper knowledge of cost and revenue information and their classification.
- ▶ A manager needs a lot of Accounting information data for logical analysis in decision making and policy formulations.
- ▶ **"Management Accounting"** has been developed to correct managerial decision making.

Managerial Economics -Operations Research

- ▶ Operational Research is closely related to managerial economics. Operational research is the application of mathematical techniques to solving business problems. It provides all the data required for business decisions and forward planning. Techniques such as **linear programming**, **game theory**, etc. are due to the works of operational research, linear programming is extensively used in decision-making.
- ▶ Operation research provides a scientific model of the system and it helps managerial economists in the field of product development, material management, and inventory control, quality control, marketing and demand analysis.
- ▶ Operational research is a tool in the hands of managerial economics to solve day-to-day business problems.

Managerial Economics - Psychology and Sociology

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- ▶ Both Psychology and Sociology provide the basis for behaviour theory of the firm.
- ▶ The study of what motivates an individual to work, and the study of Group behaviour is essential for decision making.

Managerial Economics –Decision Making

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❖ **Decision making means the process of selecting the suitable action among several alternative courses of actions, like**

- ✓ What product to be manufacture?
- ✓ Quantity and Quality
- ✓ Production techniques
- ✓ Pricing policy

Managerial Economics –Decision Making

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❖ Important decisions are

- ✓ Price output decisions
- ✓ Demand decisions
- ✓ Choice of production techniques
- ✓ Advertising decisions
- ✓ Long run Production decisions
- ✓ Investment decisions

- ❖ Computers have changed the way of the world functions and economic or business activity is no exception.
- ❖ Computers are used in data and accounts maintenance, inventory and stock controls and supply and demand predictions.
- ❖ In most of the countries a basic knowledge of computer science, is a compulsory programme for managerial trainees.

Role of Managerial Economist

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- ✓ What to produce?
- ✓ Where?
- ✓ How ?
- ✓ How much?
- ✓ Allocation of resources
- ✓ For whom to produce?
- ✓ Which price to sell?

Role of Managerial Economist

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- ✓ Plan and control business operations-
- ❑ Cost minimisation
- ❑ Profit maximisation
- ❑ Managing competition
- ❑ Economic intelligence
- ❑ Market research